Asian Paints (NSE: ASIANPAINT): trading comparables and DCF

Prices: 30-Oct-2026 close. Balance sheet: 30-Sep-2026. Rs crore unless stated. Source: AsianPaints_Comps_and_DCF.xlsx (live formulas, recalculated in Excel; Checks sheet PASS, 22 of 22 checks pass).

At Rs 2,320, Asian Paints trades at 30.4x TTM EV/EBITDA and 44.9x TTM P/E, a 46% and 44% premium to the median of four listed paint peers (20.9x and 31.2x). The peer 25th-75th percentile multiples imply Rs 1,240-1,919 per share on EV/EBITDA and Rs 1,486-1,784 on P/E. A five-year FCFF DCF (WACC 12.68%, terminal growth 6.0%) gives Rs 668 per share, or Rs 590-772 when WACC and g each move 0.5 pp. The price is above every valuation-based range and inside only the 52-week range and the analyst target range. With the model's cash flows, the price requires free cash flow to grow 11.1% a year forever after FY2031, above the 7.41% risk-free rate.

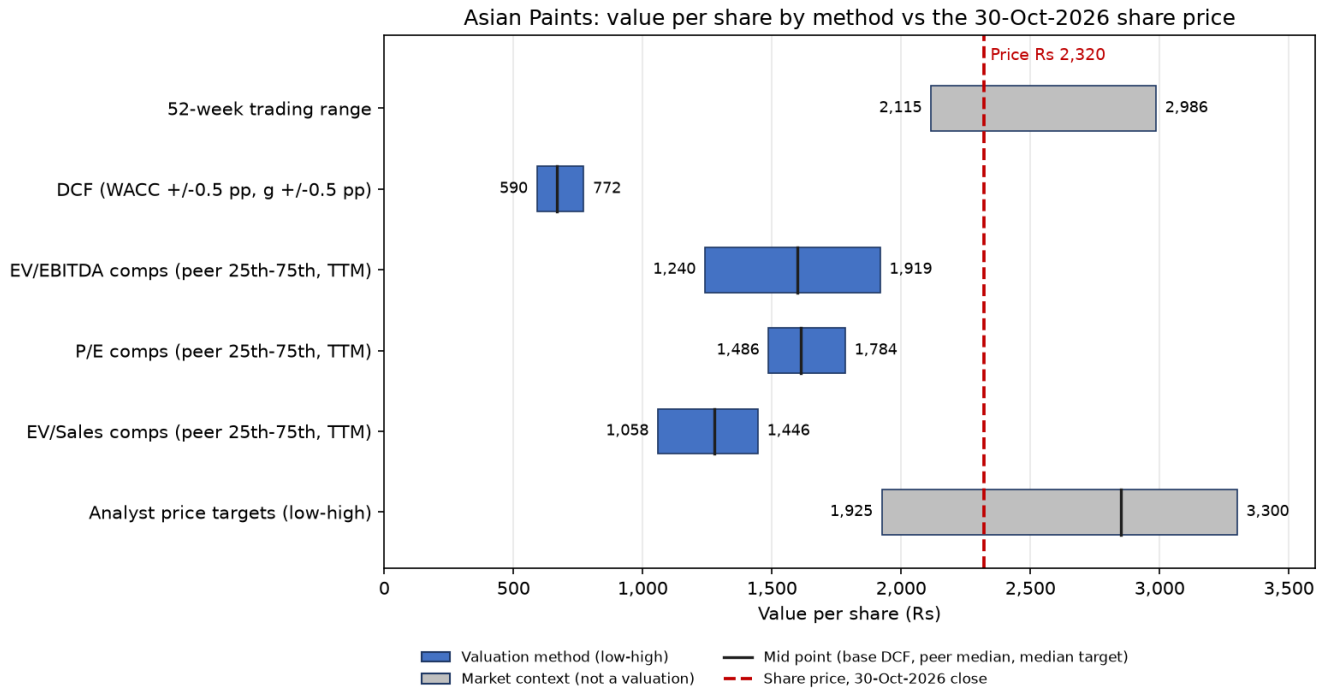
Measure	Value
Share price, 30-Oct-2026 close (Yahoo Finance)	Rs 2,320
DCF value per share (WACC 12.68%, g 6.0%)	Rs 668 (-71% vs price)
DCF range (WACC +/-0.5 pp, g +/-0.5 pp)	Rs 590 - 772
EV/EBITDA comps, peer 25th-75th (median)	Rs 1,240 - 1,919 (1,597)
P/E comps, peer 25th-75th (median)	Rs 1,486 - 1,784 (1,610)
EV/Sales comps, peer 25th-75th (median)	Rs 1,058 - 1,446 (1,276)
Analyst price targets, low - high (median), 34 analysts	Rs 1,925 - 3,300 (2,850)
52-week range (intraday)	Rs 2,115 - 2,986
Perpetual FCFF growth after FY2031E implied by the price	11.05%

Trading comparables (TTM, prices of 30-Oct-2026)

Company	TTM to	Market cap	EV	EV/ EBITDA	P/E	EV/ Sales	EV/EBITDA FY27E	P/E FY27E	EBITDA margin	Revenue CAGR FY23-26	ROCE FY26
Asian Paints	Sep-2026	222,534	221,679	30.4x	44.9x	5.74x	29.4x	43.0x	18.9%	1.0%	26.3%
Berger Paints	Jun-2026	54,231	53,601	28.0x	44.2x	4.37x	26.0x	40.3x	15.6%	4.0%	21.6%
Kansai Nerolac	Jun-2026	14,257	11,950	12.0x	22.1x	1.45x	11.2x	19.8x	12.1%	2.2%	12.0%
JSW Dulux	Jun-2026	12,041	11,810	24.2x	31.4x	3.30x	19.7x	30.0x	13.7%	-1.8%	22.7%
Indigo Paints	Sep-2026	4,760	4,525	17.6x	31.0x	2.99x	15.3x	26.3x	17.0%	9.4%	18.6%
Peer median (4 peers)				**20.9x**	**31.2x**	**3.15x**	**17.5x**	**28.1x**	**14.6%**	**3.1%**	**20.1%**
Asian Paints vs median				**+46%**	**+44%**	**+82%**	**+68%**	**+53%**	**+4.2 pp**	**-2.0 pp**	**+6.2 pp**

EV = market cap + borrowings + lease liabilities + minority interest - cash - liquid (current) investments. EBITDA is operating profit before other income (Ind AS 116, so leases count as debt). FY27E multiples use S&P; Global consensus (EBITDA = consensus EBIT + TTM D&A;). Berger, Kansai Nerolac and JSW Dulux reported Q2 FY27 after 30-Oct-2026, so their TTM ends Jun-2026 and their balance sheets are at 31-Mar-2026. Indigo Paints filed Q2 FY27 at 17:41 IST on 30-Oct-2026, after the close. JSW Dulux TTM profit excludes a Rs 1,578 cr after-tax exceptional gain; its 1:10 share split went ex on 22-Oct-2026. Peer statistics exclude Asian Paints.

Football field: value per share by method (Rs)



Source: AsianPaints_Comps_and_DCF.xlsx (this project). Prices: Yahoo Finance close 30-Oct-2026. Financials: Screener.in consolidated and company filings. Consensus and targets: S&P Global via stockanalysis.com.

Implied Asian Paints value per share from peer multiples

Multiple	Peer 25th (x)	Peer median (x)	Peer 75th (x)	Implied at 25th (Rs)	Implied at median (Rs)	Implied at 75th (Rs)	Asian Paints multiple	Median implied vs price
EV/EBITDA TTM	16.2x	20.9x	25.1x	1,240	1,597	1,919	30.4x	-31.2%
P/E TTM	28.8x	31.2x	34.6x	1,486	1,610	1,784	44.9x	-30.6%
EV/Sales TTM	2.60x	3.15x	3.57x	1,058	1,276	1,446	5.74x	-45.0%
EV/EBITDA FY27E	14.3x	17.5x	21.2x	1,132	1,384	1,680	29.4x	-40.3%
P/E FY27E	24.6x	28.1x	32.6x	1,330	1,517	1,756	43.0x	-34.6%

EV-based values: (Asian Paints metric x peer multiple - debt incl. leases - minority interest + cash and liquid investments) / 95.92 crore shares. With only four peers, dropping one at a time moves the EV/EBITDA median between 17.6x and 24.2x (Rs 1,348-1,845 per share); the P/E median stays between 31.0x and 31.4x.

Read-across

- The share price (Rs 2,320) is above every valuation-based bar. The highest of them, the 75th-percentile EV/EBITDA value (Rs 1,919), is 17% below the price.
- Peer multiples undervalue the sector leader: Asian Paints has the highest TTM EBITDA margin (18.9% vs a 14.6% peer median) and ROCE (26.3% vs 20.1%), so a premium is justified. The question is its size: 46% on EV/EBITDA.
- The DCF (Rs 668) sits 58% below the blended comps median (Rs 1,603, average of the EV/EBITDA and P/E medians). The two methods do not overlap.
- Analysts are closer to the market: the target range (Rs 1,925-3,300) contains the price and the median target (Rs 2,850) is +23% above it.

DCF: free cash flow to the firm (valuation date 30-Sep-2026)

Rs crore	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Revenue	35,584	41,349	44,657	48,453	52,572	56,777
Revenue growth	4.9%	16.2%	8.0%	8.5%	8.5%	8.0%
EBITDA	6,696	7,267	8,262	9,206	9,989	10,788
EBITDA margin	18.8%	17.6%	18.5%	19.0%	19.0%	19.0%
NOPAT = EBIT x (1 - 25.17%)	4,091	4,492	5,113	5,729	6,216	6,713
Capex	1,487	1,334	1,786	1,841	1,840	1,987
New leases	340	413	447	485	526	568
Increase in trade working capital	-837	1,509	629	721	783	799
FCFF	**4,330**	**2,500**	**3,680**	**4,232**	**4,750**	**5,176**
PAT attributable to owners	4,325	5,013	5,615	6,269	6,802	7,346
EPS (Rs)	45.09	52.27	58.54	65.36	70.91	76.58
Consensus EPS (Rs, S&P Global)		53.94	60.40			

FY2027E = H1 FY2027 actual (filed 29-Oct-2026) + H2 FY2027E. Only H2 FY2027E and FY2028E-FY2031E are discounted, from 30-Sep-2026 to each 31-Mar. Drivers: H2 FY2027E revenue +15% vs H2 FY2026, then 8.0-8.5% a year; EBITDA margin 17.0% in H2 FY2027E, 18.5% in FY2028E and 19.0% after; capex 3.5-4.0% of revenue; new leases 1.0%; trade working capital 19% of revenue.

WACC (CAPM)	
Risk-free rate (10-year G-sec, 30-Oct-2026)	7.41%
Beta used (regression 0.885, Blume 0.92, peers 0.89)	0.90
Equity risk premium	6.00%
Cost of equity	12.81%
After-tax cost of debt (rf + 1.0%, tax 25.17%)	6.29%
Debt weight D / (D + E), market values	2.02%
WACC	**12.68%**
Terminal growth g	6.00%

Valuation (Rs crore)	
PV of FCFF, H2 FY2027E-FY2031E	14,289
PV of terminal value (Gordon)	48,019
Enterprise value	62,308
+ Cash and investments	7,002
- Borrowings and lease liabilities	4,596
- Minority interest	674
Equity value	64,040
Value per share (Rs, 95.92 cr shares)	**667.64**

Terminal value is 77% of EV and equals 7.6x FY2031E EBITDA. Using the peer median EV/EBITDA (20.9x) as an exit multiple instead would give Rs 1,540 per share, which implies 10.1% perpetual growth.

Sensitivity: DCF value per share (Rs), WACC down, terminal growth across

WACC \ g	5.0%	5.5%	6.0%	6.5%	7.0%
11.68%	687	731	783	846	921
12.18%	639	677	721	772	834
12.68%	598	631	**668**	711	761
13.18%	562	590	622	658	701
13.68%	530	555	582	613	649

Interpretation

The comps and the DCF answer different questions. Comps say Asian Paints is expensive relative to its listed peers, but the peers are smaller and less profitable, so their multiples are a floor rather than a fair value. The DCF says the price needs more than this model's five years of 8-8.5% growth: at a 12.68% WACC the price implies 11.1% FCFF growth forever, while a common rule caps perpetual growth at the risk-free rate (7.41%). The market is paying for a long run of growth from brand, distribution and pricing power. The risks to that view are raw-material inflation, which cut the Q2 FY27 consolidated PBDIT margin to 15.6% (down 202 bp, press release), and competition from Birla Opus (Grasim) and JSW Dulux; management's outlook says competitive intensity remains elevated.

Sources (downloaded 1-Nov-2026; copies in source_data/)

- Asian Paints Q2 FY27 results and press release (NSE, 29-Oct-2026): https://nsearchives.nseindia.com/corporate/ASIANPAINT_29102026140213_OutcomeofBM29102026signed.pdf
- Asian Paints Q2 FY27 investor presentation (NSE): https://nsearchives.nseindia.com/corporate/ASIANPAINT_29102026164544_SEIntimation_Investor_Presentation_Q2FY26-27pdfsigned.pdf
- Financial statements: Screener.in, https://www.screener.in/company/<SYMBOL>/consolidated/ ; consensus, price targets and statistics: S&P Global via https://stockanalysis.com/quote/nse/<SYMBOL>/
- Prices: Yahoo Finance via yfinance (ASIANPAINT.NS, BERGEPAINT.NS, KANSAINER.NS, JSWDULUX.NS, INDIGOPNTS.NS, ^NSEI), daily closes to 30-Oct-2026
- 10-year G-sec 7.41%: Reuters via ETBFSI (30-Oct-2026), https://bfsi.economictimes.indiatimes.com/articles/india-bonds-buckle-for-fourth-straight-month-on-oils-climb/135363689 ; Trading Economics, https://tradingeconomics.com/india/government-bond-yield
- Country risk premium (memo): Damodaran, Jan-2026, https://pages.stern.nyu.edu/~adamodar/New_Home_Page/datafile/ctryprem.html